Cash and cash equivalents (Note 11)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Cash and cash equivalents	3,090	3,947	(857)	(22%)

Decrease is on account of higher utilisation as at March 31, 2026 as compared to March 31, 2025.

Loans (Note 13)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Loans to subsidiary	75,868	-	75,868	100%

As at March 31, 2026, the Company has an outstanding loan of Rs. 75,868 Lakhs to CEAT OHT Lanka (Private) Limited, a wholly owned subsidiary.

Balance Sheet

Borrowings (Note 19 and 23)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Non-current borrowings	150,367	92,352	58,015	63%
Current borrowings	148,833	100,477	48,356	48%
Total	**299,200**	**192,829**	**106,371**	**55%**

The increase in borrowings during the year is primarily on account of higher long-term and short-term borrowings availed to fund business expansion and meet working capital requirements of the Company.

Lease Liability (Note 4)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Non-current lease liabilities	15,742	13,491	2,251	17%
Current lease liabilities	10,164	7,310	2,854	39%
Total	**25,906**	**20,801**	**5,105**	**25%**

Lease liabilities are arising out of outsourcing arrangements of Company's products which consists of Land, Buildings and Plant machinery used for production and distribution of goods and generation of power under such arrangements. Increase was mainly on account of creation of new lease liabilities of Rs. 15,174 Lakhs and interest accretion of Rs. 1,985 Lakhs offset by payment of lease liabilities of Rs. 12,054 Lakhs during the year.

Other financial liabilities (Note 20 and 25)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Other non-current financial liabilities	1,869	1,973	(104)	(5%)
Other current financial liabilities	98,954	95,877	3,077	3%
Total	**100,823**	**97,850**	**2,973**	**3%**

Other non-current financial liabilities has marginally decreased due to decrease in capital creditors by Rs. 104 Lakhs. Other current financial liabilities recorded a net increase over the previous year. The increase was principally attributable to a rise in deposits received from Dealers amounting to Rs. 5,415 Lakhs, interest accrued but not due of Rs. 1,241 Lakhs and employee-related liabilities of Rs. 316 Lakhs as compared to March 31, 2025. The aforesaid increase was partially offset by a decline in derivative financial instruments of Rs. 3,347 Lakhs, payables to capital vendors of Rs. 628 Lakhs and unpaid dividends of Rs. 54 Lakhs during the year.

Provisions (Note 21)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Non current provisions	8,682	9,179	(497)	-5%
Current provisions	16,292	13,830	2,462	18%
Total	**24,974**	**23,009**	**1,965**	**9%**

Provisions recorded a net increase over the previous year, principally on account of a higher provision for sales-related obligations amounting to Rs. 1,335 Lakhs, an increase in provision for gratuity of Rs. 376 Lakhs and an incremental provision for indirect tax and labour matters of Rs. 274 Lakhs as compared to March 31, 2025.

Trade Payables (Note 24)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Trade payables	334,555	273,868	60,687	22%

The trade payable days outstanding increased to 98 days as at March 31, 2026 from 90 days as at March 31, 2025, representing a year-on-year increase of 8 days. This movement reflects the Company's evolving payment cycle in line with its procurement patterns and vendor payment terms during the year.

Other current liabilities (Note 26)

(Rs. in Lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025	Change	Change %
Other current liabilities	12,302	20,675	(8,373)	(40%)

The decrease in other current liabilities is primarily on account of a reduction in liabilities towards Goods and Services Tax (GST) and Extended Producer Responsibility (EPR) by Rs. 10,128 Lakhs, partially offset by an increase in advances received from customers of Rs. 3,796 Lakhs as compared to March 31, 2025.

Profit and Loss

The following table sets forth the breakup of the Company's expenses as part of the Revenue from operations (net)

(Rs. in Lakhs)

Particulars	2025-26	% of Revenue from operations	2024-25	% of Revenue from operations
Revenue from operations	1,521,486	100.00%	1,317,165	100.00%
Cost of material consumed	919,712	60.45%	831,883	63.16%
Purchase of stock-in-trade	1,394	0.09%	900	0.07%
Changes in inventories of finished goods, work-in-progress and stock-in-trade	872	0%	(13,380)	-1%
Gross Margin	**599,508**	**39.40%**	**497,762**	**37.79%**
Employee benefit expense	96,909	6.37%	84,653	6.43%
Other expenses	298,362	19.61%	264,493	20.08%
EBITDA	**204,237**	**13.42%**	**148,616**	**11.28%**
Other income	13,150	0.86%	3,335	0.25%
Finance costs	35,947	2.36%	27,720	2.10%
Depreciation and amortisation expenses	65,438	4.30%	56,226	4.27%
Exceptional items	7,073	0.46%	2,961	0.22%
Profit before tax	**108,929**	**7.16%**	**65,044**	**4.94%**
Tax expense	27,657	1.82%	16,834	1.28%
Profit for the year	**81,272**	**5.34%**	**48,210**	**3.66%**

(Rs. in Lakhs)

Particulars	2025-26	% of Revenue from operations	2024-25	% of Revenue from operations
Other comprehensive income for the year, net of tax	12,479	0.82%	(2,608)	-0.20%
Total comprehensive income for the year	**93,751**	**6.16%**	**45,602**	**3.46%**

As compared to previous year:

- Revenue from operations has increased by 16%, largely driven by volume growth.
- Gross margin has increased by 1.61% (in absolute terms) on account of better recovery rate.
- EBITDA has increased by 214 bps (in percentage terms), primarily on account of increase in revenue.

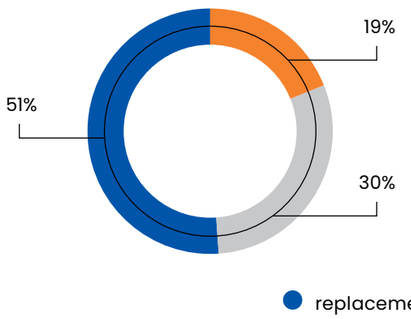
Revenue from operations (Note 27)

(Rs. in Lakhs)

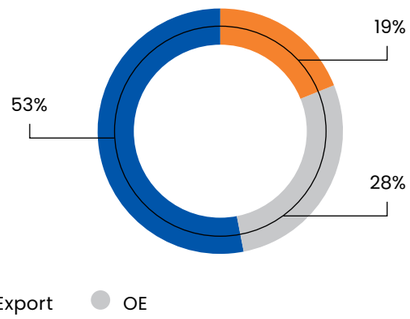
Particulars	2025-26	2024-25	Change	Change %
Sale of goods				
Automotive Tyres	1,419,493	1,218,187	201,306	17%
Tubes and others	79,782	77,676	2,106	3%
Royalty income	877	693	184	27%
Other revenues	1,490	893	597	67%
Total revenue from contracts with customers	**1,501,642**	**1,297,449**	**204,193**	**16%**
Sale of scrap	6,921	7,273	(352)	(5%)
Government grants	12,923	12,443	480	4%
Revenue from operations	**1,521,486**	**1,317,165**	**204,321**	**16%**

Sale of goods in value has increased mainly due to increase in volume.

BU Wise sales composition 2025-26



BU Wise sales composition 2024-25



replacement Export OE

Other Income (Note 28)

(Rs. in Lakhs)

Particulars	2025-26	2024-25	Change	Change %
Other Income	13,150	3,335	9,815	294%

Other income has mainly increased due to interest income of Rs. 3,599 Lakhs on loan given to subsidiary and Foreign exchange fluctuation (net) of Rs. 5,673 Lakhs as compared to March 31, 2025.

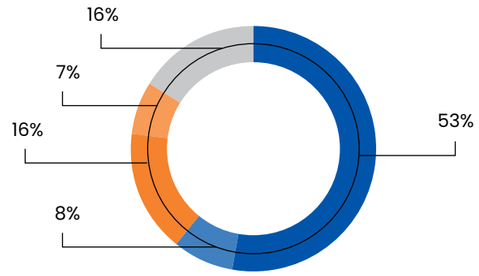
Cost of material consumed / finished goods consumed analysis (Note 29 and 30)

(Rs. in Lakhs)

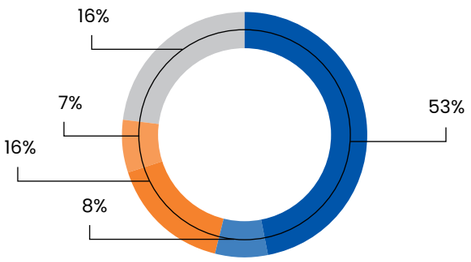
Particulars	2025-26	2024-25	Change	Change %
Cost material consumed	919,712	831,883	87,829	11%
Purchase of stock-in-trade	1,394	900	494	55%
Changes in inventories of finished goods, stock-in-trade and work-in-progress	872	(13,380)	14,252	(107%)
Total	**921,978**	**819,403**	**102,575**	**13%**

The increase is on account of higher production activity undertaken during the year, which necessitated greater procurement of raw materials, thereby increasing inventory and input cost levels. Additionally, raw material prices witnessed an upward movement compared to those prevailing as of March 31, 2025, further contributing to the overall increase in costs.

Raw Material consumed 2025-26



Raw Material consumed 2024-25



Rubber Fabrics Carbon Black Chemicals Others

The movement in inventory changes during the year was predominantly driven by a substantial rise in raw material holdings, including stocks in transit. Raw material inventory grew from Rs. 50,610 Lakhs as at March 31, 2025 to Rs. 74,796 Lakhs as at March 31, 2026, an increase of Rs. 24,186 Lakhs, reflecting higher procurement levels in line with increased production activity and prevailing raw material prices.

Employee benefit expense (Note 31)

(Rs. in Lakhs)

Particulars	2025-26	2024-25	Change	Change %
Employee benefit expense	96,909	84,653	12,256	14%

Employee benefit expenses recorded an increase over the previous year, primarily on account of annual salary revisions effected during the year and a rise in employee costs commensurate with the higher levels of production activity undertaken during the period.

Finance Costs (Note 32)

(Rs. in Lakhs)

Particulars	2025-26	2024-25	Change	Change %
Finance cost	35,947	27,720	8,227	30%

Finance costs recorded an increase over the previous year, largely on account of higher interest payments consequent to a rise in overall borrowings during the year. Additionally, incremental Dealer Deposits contributed further to the increase in interest outflows, collectively resulting in higher finance costs for the period.

Depreciation and amortisation expense (Note 33)

(Rs. in Lakhs)

Particulars	2025-26	2024-25	Change	Change %
Depreciation on property, plant and equipment	50,188	43,580	6,608	15%
Amortisation of intangible assets	4,752	3,075	1,677	55%
Depreciation on right-of-use assets	10,498	9,571	927	10%
Total	**65,438**	**56,226**	**9,212**	**16%**

Standalone Balance Sheet

as at March 31, 2026

(₹ in lakhs)

Particulars	Note	As at March 31, 2026	As at March 31, 2025
I ASSETS			
(1) Non-current assets			
(a) Property, plant and equipment	3	6,84,303	6,56,792
(b) Capital work-in-progress	3	58,862	50,661
(c) Right-of-use asset	4	33,476	28,783
(d) Intangible assets	5	32,876	10,410
(e) Intangible assets under development	5	3,994	3,087
(f) Financial assets			
(i) Investments	6	49,269	16,499
(ii) Loans	13	75,868	-
(iii) Other financial assets	7	2,996	871
(g) Non-current tax assets (net)	22	1,193	1,754
(h) Other non-current assets	8	20,021	4,235
Total non-current assets (1)		**9,62,858**	**7,73,092**
(2) Current assets			
(a) Inventories	9	1,66,000	1,40,925
(b) Financial assets			
(i) Trade receivables	10	1,75,965	1,65,233
(ii) Cash and cash equivalents	11	3,090	3,947
(iii) Bank balances other than (ii) above	12	306	360
(iv) Other financial assets	14	26,318	11,123
(c) Other current assets	15	34,707	14,740
Total current assets (2)		**4,06,386**	**3,36,328**
Total assets [(1) + (2)]		**13,69,244**	**11,09,420**
II EQUITY AND LIABILITIES			
(1) Equity			
(a) Equity share capital	16	4,045	4,045
(b) Other equity	17	5,02,657	4,24,534
Total equity (1)		**5,06,702**	**4,28,579**
(2) Non-current liabilities			
(a) Financial liabilities			
(i) Borrowings	19	1,50,367	92,352
(ii) Lease liabilities	4	15,742	13,491
(iii) Other financial liabilities	20	1,869	1,973
(b) Provisions	21	8,682	9,179
(c) Deferred tax liabilities (net)	22	61,710	48,637
Total non-current liabilities (2)		**238,370**	**1,65,632**
(3) Current liabilities		**Audited**	**Audited**
(a) Financial liabilities			
(i) Borrowings	23	1,48,833	1,00,477
(ii) Lease liabilities	4	10,164	7,310
(iii) Trade payables	24		
- Total outstanding dues of micro enterprises and small enterprises		13,095	8,615
- Total outstanding dues of creditors other than micro enterprises and small enterprises		3,21,460	2,65,253
(iv) Other financial liabilities	25	98,954	95,877
(b) Other current liabilities	26	12,302	20,675
(c) Provisions	21	16,292	13,830
(d) Current tax liabilities (net)	22	3,072	3,172
Total current liabilities (3)		**6,24,172**	**5,15,209**
Total equity and liabilities [(1) + (2) + (3)]		**13,69,244**	**11,09,420**
Material accounting policies	2		

The accompanying notes are an integral part of the standalone financial statements.

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No: 101248W/W-100022

Sadashiv Shetty
Partner
Membership Number: 048648

Place: Mumbai
Date: April 28, 2026

For and on behalf of Board of Directors
CIN: L25100MH1958PLC011041

H. V. Goenka
Chairman
[DIN:00026726]

Arnab Banerjee
Managing Director
[DIN:06559516]

Milind Sarwate
Chairman - Audit Committee
[DIN:00109854]

Kumar Subbiah
Chief Financial Officer

Gaurav Tongia
Company Secretary

Place: Mumbai
Date: April 28, 2026

Standalone Statement of Profit and Loss

for the year ended March 31, 2026

(₹ in lakhs)

Particulars	Note	For the year ended 2025-26	For the year ended 2024-25
INCOME			
Revenue from operations	27	15,21,486	13,17,165
Other income	28	13,150	3,335
I Total income		**15,34,636**	**13,20,500**
Expenses			
Cost of materials consumed	29	9,19,712	8,31,883
Purchases of stock-in-trade		1,394	900
Changes in inventories of finished goods, stock-in-trade and work-in-progress	30	872	(13,380)
Employee benefit expense	31	96,909	84,653
Finance costs	32	35,947	27,720
Depreciation and amortisation expenses	33	65,438	56,226
Other expenses	34	298,362	2,64,493
II Total expenses		**14,18,634**	**12,52,495**
III Profit before exceptional items and tax		**1,16,002**	**68,005**
IV Exceptional items	35	**7,073**	**2,961**
V Profit before tax		**1,08,929**	**65,044**
VI Tax expense	22	**27,657**	**16,834**
Current tax		18,781	11,214
Deferred tax		8,876	5,620
VII Profit for the year		**81,272**	**48,210**
VIII Other Comprehensive Income			
(a) Items that will not be reclassified to profit or loss			
(i) Remeasurements gains/(losses) on defined benefit plans		5,602	(675)
(ii) Income tax relating to above		(1,410)	170
(b) Items that will be reclassified to profit or loss			
(i) Effective portion of gains/(losses), on hedging instruments in cash flow hedges		11,074	(2,810)
(ii) Income tax relating to above		(2,787)	707
Other comprehensive income/(loss) for the year		**12,479**	**(2,608)**
IX **Total Comprehensive Income for the year (Comprising profit and other comprehensive income/(loss) for the year)**		**93,751**	**45,602**
X Earnings per equity share (of face value of ₹ 10 each)	37		
(a) Basic (in ₹)		201.17	119.18
(b) Diluted (in ₹)		201.17	119.18
Material accounting policies	2		

The accompanying notes are an integral part of the standalone financial statements.

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No: 101248W/W-100022

Sadashiv Shetty
Partner
Membership Number: 048648

Place: Mumbai
Date: April 28, 2026

For and on behalf of Board of Directors
CIN: L25100MH1958PLC011041

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Chairman
[DIN:00026726]

Arnab Banerjee
Managing Director
[DIN:06559516]

Milind Sarwate
Chairman - Audit Committee
[DIN:00109854]

Kumar Subbiah
Chief Financial Officer

Gaurav Tongia
Company Secretary

Place: Mumbai
Date: April 28, 2026

Standalone Statement of Cash Flow

for the year ended March 31, 2026

(₹ in lakhs)

Particulars		For the year ended 2025-26	2024-25
I	**CASH FLOW FROM OPERATING ACTIVITIES**		
	Profit before tax	**1,08,929**	**65,044**
	Adjustments to reconcile profit before tax to net cash flows:		
	Depreciation and amortisation expenses	65,438	56,226
	Interest income	(4,287)	(661)
	Finance costs	35,947	27,720
	Dividend income	(2,146)	(1,641)
	Compensation expenses under employee stock option plan	450	-
	Impairment of assets	-	1,365
	Gain on termination of lease contract	(17)	(98)
	Allowance/(Write-back) for doubtful debts and advances	(9)	478
	Gain on sale of mutual funds	(135)	(38)
	(Profit)/Loss on disposal of property, plant and equipment (net)	1,639	120
	Unrealised foreign exchange (gain)/loss (net)	(4,594)	277
	Operating profit before working capital changes	**2,01,215**	**1,48,792**
	Adjustments for:		
	Decrease/(Increase) in inventories	(25,075)	(27,511)
	Decrease/(Increase) in trade receivables	(8,773)	(37,839)
	Decrease/(Increase) in other current assets and other current financial assets	(24,455)	(7,927)
	Decrease/(Increase) in other non-current assets and other non-current financial assets	(191)	(100)
	(Decrease)/Increase in trade payables	55,822	39,943
	(Decrease)/Increase in current financial liabilities and other current liabilities	(2,917)	(1,570)
	(Decrease)/Increase in current provisions	6,889	1,631
	(Decrease)/Increase in non-current provisions	(513)	1,369
	Cash flows from operating activities	**2,02,002**	**1,16,788**
	Income taxes (paid)/refund	(18,013)	(8,490)
	Net cash flow generated from operating activities (I)	**1,83,989**	**1,08,298**
II	**CASH FLOW FROM INVESTING ACTIVITIES**		
	Purchase of property, plant and equipment and intangible assets (including capital work-in progress, intangible assets under development and capital advance)	(1,07,598)	(94,707)
	Payment towards business combination (refer note 49)	(23,933)	-
	Proceeds from sale of property, plant and equipment	40	79
	Purchase of investments	(32,770)	(926)
	Purchase of mutual funds	(2,35,327)	(54,200)
	Proceeds from sale of mutual funds	2,35,463	54,238
	Interest received	337	326
	Loan given to subsidiary	(70,154)	-
	Dividend received	2,146	1,641
	Net cash flow (used in) investing activities (II)	**(2,31,796)**	**(93,549)**

Standalone Statement of Cash Flow

for the year ended March 31, 2026

(₹ in lakhs)

Particulars		For the year ended 2025-26	2024-25
III	**CASH FLOW FROM FINANCING ACTIVITIES**		
	Interest paid	(31,288)	(24,403)
	Proceeds/(repayment) of short-term borrowings (net)	39,766	31,840
	Proceeds from long-term borrowings	1,05,000	35,000
	Repayment of long-term borrowings	(38,396)	(33,308)
	Loan to ESOP Trust for purchase of treasury shares	(3,943)	-
	Payment of lease liabilities	(12,054)	(11,016)
	Dividend paid	(12,135)	(12,135)
	Net cash flows generated from/(used in) financing activities (III)	**46,950**	**(14,022)**
	Net increase/(decrease) in cash and cash equivalents (I + II + III)	**(857)**	**727**
	Cash and cash equivalents at the beginning of the year	**3,947**	**3,220**
	Cash and cash equivalents at the end of the year	**3,090**	**3,947**

Reconciliation forming Statement of Cash Flows

Changes in liabilities arising from financing activities

(₹ in lakhs)

Particulars	Short-term borrowings	Long-term borrowings*	Interest accrued but not due on borrowing
March 31, 2024	**30,246**	**1,29,050**	**1,875**
Interest accrued during the year	-	-	24,459
Cash flows	31,840	1,692	(24,403)
March 31, 2025	**62,086**	**1,30,742**	**1,931**
Interest accrued during the year	-	-	32,529
Cash flows	39,766	66,605	(31,288)
March 31, 2026	**1,01,852**	**1,97,347**	**3,172**

**Includes current maturities of long-term borrowings*

a) Refer note 4(b) for changes in lease liabilities arising from financing activities

The accompanying notes are an integral part of the standalone financial statements.

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No: 101248W/W-100022

Sadashiv Shetty
Partner
Membership Number: 048648

Place: Mumbai
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Chairman - Audit Committee
[DIN:00109854]

Kumar Subbiah
Chief Financial Officer

Gaurav Tongia
Company Secretary

Place: Mumbai
Date: April 28, 2026

Notes to the Standalone Financial Statements

for the year ended March 31, 2026

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

2.14.5 Offsetting of financial instruments

Financial assets and financial liabilities can be offset and the net amount is reported in the Balance Sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

2.15 Cash and cash equivalents

Cash and cash equivalent in the Balance Sheet comprises cash at banks and on hand. For the purpose of cash flow statement, Cash & Cash equivalent consists of cash & short term deposits as defined above. The Cash flow statement is prepared using indirect method.

2.16 Dividend distribution to equity shareholders

The Company recognises a liability to pay dividend to equity shareholders of the Company when the distribution is authorised and the distribution is no longer at the discretion of the Company. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders.

2.17 Foreign currencies

The Company's financial statements are presented in ₹, which is also the Company's functional currency.

Transactions in foreign currencies are initially recorded by the Company at ₹ spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Exchange differences arising on settlement or translation of monetary items are recognised in the Statement of Profit and Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or profit and loss are also recognised in OCI or the Statement of Profit and Loss, respectively).

2.18 Earnings Per Share ('EPS')

Basic EPS amounts are calculated by dividing the profit for the year attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the profit attributable to equity holders of the Company after adjusting impact of dilution shares by the weighted average number of equity shares outstanding during the year plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

2.19 Segment Reporting

The Executive Management Committee evaluates the Company's performance and allocates the resources based on an analysis of various performance indicators by business segments.

The Company prepares its segment information in conformity with the accounting policies adopted for preparing and presenting the financial statements of the Company as a whole.

2.20 Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non—occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Company does not recognise a contingent liability but discloses its existence in the financial statements.

2.21 Treasury shares

The Company has created an CEAT Employees Welfare Benefit Trust ('Trust') for providing share-based payment to its employees. The Company uses trust as a vehicle for distributing shares to employees under the employee remuneration schemes. The trust buys shares of the Company from the market, for giving shares to employees on exercise of equity settled ESOP. Share options exercised during the reporting period are satisfied with treasury shares. The Company treats trust as its extension and shares held by trust are treated as treasury shares.

Own equity instruments that are reacquired (treasury shares) are recognised at cost and deducted from equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in Capital reserve.

2.22 Share-based payments

Employees (including senior executives) of the Company receive remuneration in the form of share-based payments, whereby employees render services as consideration for equity instruments (equity-settled transactions).

The cost of equity-settled transactions is determined by the fair value at the date when the grant is made using an appropriate valuation model. Further details are given in note 46.

That cost is recognised, together with a corresponding increase in share-based payment (SBP) reserves in equity, over the period in which the performance and/or service conditions are fulfilled in employee benefits expense.

The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Company's best estimate of the number of equity instruments that will ultimately vest. The expense or credit in the P&L for a period represents the movement in cumulative expense recognised as at the beginning and end of that period and is recognised in employee benefits expense.

Service and non-market performance conditions are not taken into account when determining the grant date fair value of awards, but the likelihood of the conditions being met is assessed as part of the Company's best estimate of the number of equity instruments that will ultimately vest. Market performance conditions are reflected within

Notes to the Standalone Financial Statements

for the year ended March 31, 2026

the grant date fair value. Any other conditions attached to an award, but without an associated service requirement, are considered to be non-vesting conditions. Non-vesting conditions are reflected in the fair value of an award and lead to an immediate expensing of an award unless there are also service and/or performance conditions.

No expense is recognised for awards that do not ultimately vest because non-market performance and/or service conditions have not been met. Where awards include a market or non-vesting condition, the transactions are treated as vested irrespective of whether the market or non-vesting condition is satisfied, provided that all other performance and/or service conditions are satisfied.

When the terms of an equity-settled award are modified, the minimum expense recognised is the grant date fair value of the unmodified award, provided the original vesting terms of the award are met. An additional expense, measured as at the date of modification, is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through profit or loss.

2.23 Business combination

The Company applies the acquisition method in accounting for business combinations. The consideration transferred by the Company to obtain control of a business is calculated as the sum of the fair values of assets transferred, liabilities incurred and the equity interests issued by the Company as at the acquisition date i.e. date on which it obtains control of the acquiree which includes the fair value of any asset or liability arising from a contingent consideration arrangement. Acquisition-related costs are recognised in the Statement of Profit and Loss as incurred, except to the extent related to the issue of debt or equity securities.

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Ind AS 103. Such transactions are accounted for using the pooling of-interest method. The assets and liabilities of the acquired entity are recognised at their carrying amounts of the Company's financial statements. The components of equity of the acquired companies are added to the same components within the Company's equity. The financial statements in respect of prior periods have been restated as if the business combination had occurred from the beginning of the preceding period in the financial statements.

Identifiable assets acquired and liabilities assumed in a business combination are measured initially at their fair values on acquisition-date.

Intangible Assets acquired in a Business Combination and recognised separately from Goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost). Subsequent to initial recognition, intangible Assets acquired in a Business Combination are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

2.24 Significant accounting judgments, estimates and assumptions

The preparation of the financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require an adjustment to the carrying amount of assets or liabilities in future periods. Difference between actual results and estimates are recognised in the periods in which the results are known/materialised.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company has based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Information about critical judgments in applying accounting policies, as well as estimates and assumptions that have the most significant effect to the carrying amounts of assets and liabilities within the next financial year, are included in the following notes:

(a) Measurement of defined benefit obligations – note 38

(b) Measurement and likelihood of occurrence of provisions and contingencies – note 21

(c) Recognition of current tax and deferred tax assets – note 22

(d) Key assumptions used in fair valuations – note 44

(e) Measurement of lease liabilities and right-of-use asset – note 4

(f) Assumptions and models used for estimating fair value of share-based payment – note 46

2.25 Recent Accounting Pronouncements:

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f. April 1, 2025 – The amendment relates to classification of liabilities as current or non-current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Company has no impact of these amendments in its classification criteria of current and non-current liabilities.
2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments: Disclosures, applicable w.e.f. April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

Consolidated Balance Sheet

as at 31 March, 2026

(₹ in lakhs)

Particulars	Note	As at March 31, 2026	As at March 31, 2025
I ASSETS			
(1) Non-current assets			
a) Property, plant and equipment	3	7,63,058	6,56,916
b) Capital work-in-progress	3	59,841	50,661
c) Right-of-use assets	4	34,698	28,784
d) Goodwill	5	3,035	2,311
e) Intangible assets	5	43,062	10,423
f) Intangible assets under development	5	3,994	3,089
g) Investments accounted using equity method	6	17,296	17,329
h) Financial assets			
(i) Investments	7	4,885	1,655
(ii) Other financial assets	8	2,996	871
i) Non-current tax assets (net)	23	1,193	1,754
j) Other non-current assets	9	20,023	4,237
Total non-current assets (A)		**9,54,081**	**7,78,030**
(2) Current assets			
a) Inventories	10	1,78,337	1,41,153
b) Financial assets			
(i) Trade receivables	11	1,83,890	1,65,331
(ii) Cash and cash equivalents	12	3,953	4,794
(iii) Bank balances other than cash and cash equivalents	13	377	530
(iv) Other financial assets	14	24,857	11,244
c) Other current assets	15	39,842	15,694
Total current assets		**4,31,256**	**3,38,746**
Assets held-for-sale	16	4,887	4,463
Total (B)		**4,36,143**	**3,43,209**
Total assets [(A) + (B)]		**13,90,224**	**11,21,239**
II EQUITY AND LIABILITIES			
(1) Equity			
a) Equity share capital	17	4,045	4,045
b) Other equity	18	5,00,556	4,32,808
Equity attributable to owners of parent		**5,04,601**	**4,36,853**
c) Non-controlling interests	39	802	773
Total equity (A)		**5,05,403**	**4,37,626**
(2) Non-current liabilities			
a) Financial liabilities			
(i) Borrowings	20	1,50,367	92,356
(ii) Lease liabilities	4	15,834	13,491
(iii) Other financial liabilities	21	1,869	1,973
b) Provisions	22	12,209	9,268
c) Deferred tax liabilities (net)	23	63,221	50,035
Total non-current liabilities (B)		**2,43,500**	**1,67,123**
Current liabilities			
a) Financial liabilities			
(i) Borrowings	24	1,50,712	1,00,479
(ii) Lease liabilities	4	10,296	7,312
(iii) Trade payables	25		
- Total outstanding dues of micro enterprises and small enterprises		13,184	8,630
- Total outstanding dues of creditors other than micro enterprises and small enterprises		3,31,598	2,65,389
(iv) Other financial liabilities	26	99,666	96,016
b) Other current liabilities	27	16,120	21,541
c) Provisions	22	16,470	13,851
d) Current tax liabilities (net)	23	3,275	3,272
Total current liabilities (C)		**6,41,321**	**5,16,490**
Total equity and liabilities		**13,90,224**	**11,21,239**
Material accounting policies	2		

The accompanying notes are an integral part of the consolidated financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No: 101248W/W-100022

Sadashiv Shetty
Partner
Membership Number: 048648

Place: Mumbai
Date: April 28, 2026

For and on behalf of Board of Directors
CIN: L25100MH1958PLC011041

H. V. Goenka
Chairman
[DIN:00026726]

Arnab Banerjee
Managing Director
[DIN:06559516]

Milind Sarwate
Chairman - Audit Committee
[DIN:00109854]

Kumar Subbiah
Chief Financial Officer

Gaurav Tongia
Company Secretary

Place: Mumbai
Date: April 28, 2026

Consolidated Statement of Profit and Loss

for the year ended March 31, 2026

(₹ in lakhs)

Particulars	Note	For the year ended 2025-26	2024-25
Revenue from operations	28	15,67,800	13,21,787
Other income	29	4,038	1,755
I **Total income**		**15,71,838**	**13,23,542**
Expenses			
Cost of materials consumed	30	9,50,774	8,31,883
Purchases of stock-in-trade		5,190	3,301
Changes in inventories of finished goods, stock-in-trade and work-in-progress	31	(5,729)	(11,973)
Employee benefit expense	32	1,07,144	85,622
Finance costs	33	35,862	27,779
Depreciation and amortization expenses	34	69,742	56,269
Other expenses	35	3,05,701	2,65,540
II **Total expenses**		**14,68,684**	**12,58,421**
III **Profit before share of profit of associate and joint venture, exceptional items and tax**		**1,03,154**	**65,121**
IV Share of profit of associate and joint venture (net of tax)	40	1,580	2,180
V **Profit before exceptional items and tax**		**1,04,734**	**67,301**
VI Exceptional items	36	7,123	2,961
VII **Profit before tax**		**97,611**	**64,340**
VIII **Tax expense**	23		
Current tax		18,899	11,382
Deferred tax		8,988	5,821
		27,887	**17,203**
IX **Profit for the period**		**69,724**	**47,137**
Attributable to			
(a) Owners of the parent		69,802	47,264
(b) Non-controlling interests	39	(78)	(127)
X **Other comprehensive income**			
(a) Items that will not be reclassified to profit or loss			
Remeasurement gains/(losses) on defined benefit plans	41	5,323	(679)
Income tax relating to above	23	(1,403)	170
(b) Items that will be reclassified to profit or loss			
i. Effective portion of gains/(losses) on hedging instruments in cash flow hedges		11,074	(2,810)
ii. Exchange differences on translating the financial statements of a foreign operation	50	1,340	97
iii. Income tax relating to movement in cash flow hedges	23	(2,787)	707
Other comprehensive income/(loss) for the year		**13,547**	**(2,515)**
Attributable to			
(a) Owners of the parent		**13,547**	**(2,515)**
(b) Non-controlling interests			-
XI **Total comprehensive income for the year [Comprising profit and other comprehensive income/(loss) for the year]**		**83,271**	**44,622**
Attributable to			
(a) Owners of the parent		83,349	44,749
(b) Non-controlling interests	39	(78)	(127)
XII **Earnings per equity share (of face value of ₹ 10 each)**	38		
(a) Basic (in ₹)		172.78	116.85
(b) Diluted (in ₹)		172.78	116.85
Material accounting policies	2		

The accompanying notes are an integral part of the consolidated financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No: 101248W/W-100022

Sadashiv Shetty
Partner
Membership Number: 048648

Place: Mumbai
Date: April 28, 2026

For and on behalf of Board of Directors
CIN: L25100MH1958PLC011041

H. V. Goenka
Chairman
[DIN:00026726]

Arnab Banerjee
Managing Director
[DIN:06559516]

Milind Sarwate
Chairman - Audit Committee
[DIN:00109854]

Kumar Subbiah
Chief Financial Officer

Gaurav Tongia
Company Secretary

Place: Mumbai
Date: April 28, 2026

Consolidated Statement of Cash Flow

for the year ended March 31, 2026

(₹ in lakhs)

Particulars		2025-26	2024-25
I	**CASH FLOW FROM OPERATING ACTIVITIES**		
	Profit before tax and excluding share of profit/(loss) of joint venture	**96,031**	**62,160**
	Adjustments to reconcile profit before tax to net cash flows:		
	Depreciation and amortisation expenses	69,742	56,269
	Interest income	(772)	(721)
	Finance costs	35,862	27,779
	Impairment of asset	-	1,365
	Gain on termination of lease	(17)	(98)
	Allowance/(Reversal) for doubtful debts and advances	(9)	480
	Gain on sale of mutual fund	(136)	(38)
	(Profit)/Loss on sale of property, plant and equipment (net)	1,641	129
	Unrealised foreign exchange (gain)/loss (net)	(935)	277
	Compensation expenses under employee stock option plan	450	-
	Foreign currency translation reserve on consolidation	833	(235)
	Operating profit before working capital changes	**2,02,690**	**1,47,367**
	Adjustments for :		
	Decrease/(Increase) in inventories	(37,184)	(26,104)
	Decrease/(Increase) in trade receivables	(16,600)	(37,213)
	Decrease/(Increase) in other current assets and other current financial assets	(32,129)	(7,148)
	Decrease/(Increase) in non-current asset and other non-current financial assets	(2,052)	(101)
	(Decrease)/Increase in trade payables	71,207	40,556
	(Decrease)/Increase in current and non-current financial liabilities and other current liabilities	951	(2,112)
	(Decrease)/Increase in current provisions	6,767	1,634
	(Decrease)/Increase in non-current provisions	2,925	1,395
	Cash flows from operating activities	**1,96,575**	**1,18,274**
	Income taxes (paid)/refund	(18,020)	(9,078)
	Net cash flow generated from operating activities (I)	**1,78,555**	**1,09,196**
II	**Cash Flow From Investing Activities**		
	Purchase of property, plant and equipment and intangible assets (including capital work-in progress, intangible assets under development and capital advance)	(1,14,654)	(94,336)
	Payment towards business combination	(1,12,046)	-
	Proceeds from sale of property, plant and equipment	16	79
	Changes in other bank balances	99	(27)
	Purchase of investments	(3,230)	(22)
	Purchase of mutual funds	(2,35,327)	(54,200)
	Proceeds from sale of mutual funds	2,35,463	54,238
	Interest received	473	383
	Dividend received from Joint Venture	2,146	1,641
	Net cash flow (used in) investing activities (II)	**(2,27,060)**	**(92,244)**

Consolidated Statement of Cash Flow

for the year ended March 31, 2026

(₹ in lakhs)

Particulars		2025-26	2024-25
III	**Cash Flow From Financing Activities**		
	Interest paid	(31,114)	(24,463)
	Proceeds/(repayment) of short-term borrowings (net)	41,644	28,247
	Proceeds from long-term borrowings	1,05,000	35,000
	Repayment of long-term borrowings	(38,398)	(33,302)
	Compensation expenses under employee stock option plan	(3,943)	-
	Payment of lease liabilities	(13,390)	(11,020)
	Dividend paid	(12,135)	(12,136)
	Net cash flow (used in) financing activities (III)	47,664	(17,674)
	Net increase/(decrease) in cash and cash equivalents (I + II + III)	**(841)**	**(722)**
	Cash and cash equivalents at the beginning of the year	4,794	5,516
	Cash and cash equivalents at the end of the year	**3,953**	**4,794**

Changes in liabilities arising from financing activities

(₹ in lakhs)

Particulars	Short-term borrowings	Long-term borrowings *	Interest accrued but not due on borrowing
As at April 01, 2024	**33,839**	**1,29,050**	**1,876**
Interest accrued during the year	-	-	24,518
Cash Flows	28,247	1,698	(24,463)
As at March 31, 2025	**62,086**	**1,30,748**	**1,931**
Interest accrued during the year	-	-	32,421
Cash Flows	41,644	66,601	(31,114)
As at March 31, 2026	**1,03,730**	**1,97,349**	**3,238**

** includes current maturities of long-term borrowings.*

a) Refer note 4(b) for changes in lease liabilities arising from financing activities

The accompanying notes are an integral part of the consolidated financial statements

As per our report of even date

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No: 101248W/W-100022

Sadashiv Shetty
Partner
Membership Number: 048648

Place: Mumbai
Date: April 28, 2026

For and on behalf of Board of Directors
CIN: L25100MH1958PLC011041

H. V. Goenka
Chairman
[DIN:00026726]

Arnab Banerjee
Managing Director
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Milind Sarwate
Chairman - Audit Committee
[DIN:00109854]

Kumar Subbiah
Chief Financial Officer

Gaurav Tongia
Company Secretary

Place: Mumbai
Date: April 28, 2026

Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

2.17.2 Financial liabilities

2.17.2.1 Initial recognition and measurement

Financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument. All financial liabilities are recognised initially at fair value and in the case of borrowings net of directly attributable transaction costs.

2.17.2.2 Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

2.17.2.2.1 Financial liabilities at amortised cost (Borrowings)

This is the category most relevant to the Group. After initial recognition, financial liabilities are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in the consolidated statement of profit and loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by considering any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the consolidated statement of profit and loss.

2.17.2.3 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit and loss.

2.17.3 Derivative financial instruments and hedge accounting

The Group uses derivative financial instruments, such as forward currency contracts, to manage its foreign currency risks. These derivative instruments are designated as cash flow, fair value or net investment hedges and are entered into for period consistent with currency. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Any gains or losses arising from changes in the fair value of derivatives are taken directly to the consolidated statement of profit and loss.

2.17.3.1 Cash flow hedges

The effective portion of the gain or loss on the hedging instrument is recognised in OCI in the cash flow hedge reserve, while any ineffective portion is recognised immediately in the consolidated statement of profit or loss.

The Group uses forward currency contracts as hedges of its exposure to foreign currency risk in forecast transactions and firm commitments. The ineffective portion relating to foreign currency contracts is recognised in the consolidated statement of profit and loss.

Amounts recognised as OCI are transferred to the consolidated statement of profit and loss when the hedged transaction affects profit and loss, i.e. when the hedged financial income or financial expense is recognised or when a forecast sale occurs. When the hedged item is the cost of a non-financial asset or non-financial liability, the amounts recognised as OCI are transferred to the initial carrying amount of the non-financial asset or liability.

If the hedging instrument expires or is sold, terminated or exercised without replacement or rollover (as part of the hedging strategy), or if its designation as a hedge is revoked, or when the hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss previously recognised in OCI remains separately in equity until the forecast transaction occurs or the foreign currency firm commitment is met.

2.17.4 Fair value measurement

The Group measures derivatives instruments like forward contracts at fair value at each Balance Sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- **Level 1:** Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- **Level 2:** Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- **Level 3:** Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

2.17.5 Offsetting of financial instruments

Financial assets and financial liabilities can be offset and the net amount is reported in the Balance Sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

2.18 Cash and cash equivalents

Cash and cash equivalent in the Balance Sheet comprises cash at banks and on hand. For the purpose of cash flow statement, Cash & Cash equivalent consists of cash & short term deposits as defined above. The Cash flow statement is prepared using indirect method.

2.19 Dividend distribution to equity shareholders

The Group recognises a liability to pay dividend to equity shareholders of the Group when the distribution is authorised, and the distribution is no longer at the discretion of the Group. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders.

2.20 Foreign currencies

The Group's financial statements are presented in ₹, which is also the Group's functional currency. Transactions in foreign currencies are initially recorded by the Group at ₹ spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Exchange differences arising on settlement or translation of monetary items are recognised in the consolidated statement of profit and loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or profit and loss are also recognised in OCI or the consolidated statement of profit and loss, respectively).

2.21 Earnings Per Share ('EPS')

Basic EPS amounts are calculated by dividing the profit for the year attributable to equity holders of the Group by the weighted average number of equity shares outstanding during the year.

Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

Diluted EPS amounts are calculated by dividing the profit attributable to equity holders of the Group after adjusting impact of dilution shares by the weighted average number of equity shares outstanding during the year plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

2.22 Segment Reporting

The Executive Management Committee evaluates the Group's performance and allocates the resources based on an analysis of various performance indicators by business segments.

The Group prepares its segment information in conformity with the accounting policies adopted for preparing and presenting the financial statements of the Group as a whole.

2.23 Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non—occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Group does not recognise a contingent liability but discloses its existence in the consolidated financial statements

2.24 Treasury shares

The Group has created an Employee Benefit Trust ('Trust') for providing share-based payment to its employees. The Group uses trust as a vehicle for distributing shares to employees under the employee remuneration schemes. The trust buys shares of the Group from the market, for giving shares to employees on exercise of equity settled ESOP. Share options exercised during the reporting period are satisfied with treasury shares. The Group treats trust as its extension and shares held by trust are treated as treasury shares.

Own equity instruments that are reacquired (treasury shares) are recognised at cost and deducted from equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in Capital reserve.

2.25 Share-based payments

Employees (including senior executives) of the Group receive remuneration in the form of share-based payments, whereby employees render services as consideration for equity instruments (equity-settled transactions).

The cost of equity-settled transactions is determined by the fair value at the date when the grant is made using an appropriate valuation model. Further details are given in note 49.

That cost is recognised, together with a corresponding increase in share-based payment (SBP) reserves in equity, over the period in which the performance and/or service conditions are fulfilled in employee benefits expense. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The expense or credit in the P&L for a period represents the movement in cumulative expense recognised as at the beginning and end of that period and is recognised in employee benefits expense.

Service and non-market performance conditions are not taken into account when determining the grant date fair value of awards, but the likelihood of the conditions being met is assessed as part of the Group's best estimate of the number of equity instruments that will ultimately vest. Market performance conditions are reflected within the grant date fair value. Any other conditions attached to an award, but without an associated service requirement, are considered to be non-vesting conditions. Non-vesting conditions are reflected in the fair value of an award and lead to an immediate expensing of an award unless there are also service and/or performance conditions.

No expense is recognised for awards that do not ultimately vest because non-market performance and/or service conditions have not been met. Where awards include a market or non-vesting condition, the transactions are treated as vested irrespective of whether the market or non-vesting condition is satisfied, provided that all other performance and/or service conditions are satisfied.

When the terms of an equity-settled award are modified, the minimum expense recognised is the grant date fair value of the unmodified award, provided the original vesting terms of the award are met. An additional expense, measured as at the date of modification, is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through profit or loss.

2.26 Significant accounting judgments, estimates and assumptions

The preparation of the consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require an adjustment to the carrying amount of assets or liabilities in future periods. Difference between actual results and estimates are recognised in the periods in which the results are known/materialised.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group has based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Information about critical judgments in applying accounting policies, as well as estimates and assumptions that have the most significant effect to the carrying amounts of assets and liabilities within the next financial year, are included in the following notes:

(a) Measurement of defined benefit obligations – note 41

(b) Measurement and likelihood of occurrence of provisions and contingencies – note 22

(c) Recognition of current tax and deferred tax assets – note 23

(d) Key assumptions used in fair valuations – note 46

(e) Measurement of lease liabilities and right-of-use asset – note 4

(f) Assumptions and models used for estimating fair value of share-based payment – note 49

2.27 Recent Accounting Pronouncements:

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f. April 1, 2025 – The amendment relates to classification of liabilities as current or non-current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Company has no impact of these amendments in its classification criteria of current and non-current liabilities.

2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments: Disclosures, applicable w.e.f. April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

Note 39: Non-controlling interests (Contd..)

(₹ in lakhs)

For the year ended March 31, 2026	Rado Tyres Limited	CEAT AKKHAN Limited	OHT Ventures (Private) Limited
Attributable to:			
Owners of parent	11	(188)	(4)
Non-controlling interest	8	(82)	(4)

(₹ in lakhs)

For the year ended March 31, 2025	Rado Tyres Limited	CEAT AKKHAN Limited	OHT Ventures (Private) Limited
Revenue	37	1,808	-
Profit/(Loss) for the year	18	(449)	-
Total comprehensive income	**18**	**(449)**	**-**
Attributable to:			
Owners of parent	10	(314)	-
Non-controlling interest	8	(135)	-

b) Summarized balance sheet

(₹ in lakhs)

For the year ended March 31, 2026	Rado Tyres Limited	CEAT AKKHAN Limited	OHT Ventures (Private) Limited
Non-Current Assets	2	-	628
Assets held-for-sale	98	4,789	-
Current Assets	549	636	3,793
Non-Current Liabilities	(1,510)	-	(4,199)
Current Liabilities	(5)	(1,541)	(230)
Total equity	**(866)**	**3,884**	**(8)**
Attributable to:			
Owners of parent	(507)	2,719	(4)
Non-controlling interest	(359)	1,165	(4)

(₹ in lakhs)

For the year ended March 31, 2025	Rado Tyres Limited	CEAT AKKHAN Limited	OHT Ventures (Private) Limited
Non-Current Assets	2	-	-
Assets held-for-sale	98	4,365	-
Current Assets	540	636	-
Non-Current Liabilities	(1,510)	-	-
Current Liabilities	(9)	(1,275)	-
Total equity	**(879)**	**3,801**	**-**
Attributable to:			-
Owners of parent	(513)	2,662	-
Non-controlling interest	(366)	1,139	-

Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

Note 39: Non-controlling interests (Contd..)

c) Summarized cash flow statement

(₹ in lakhs)

For the year ended March 31, 2026	Rado Tyres Limited	CEAT AKKHAN Limited	OHT Ventures (Private) Limited
Operating	(13)	(122)	(3,231)
Investing	33	102	(605)
Financing	-	-	3,836
Net increase/(decrease) in cash and cash equivalents	**20**	**(20)**	**-**

(₹ in lakhs)

For the year ended March 31, 2025	Rado Tyres Limited	CEAT AKKHAN Limited	OHT Ventures (Private) Limited
Operating	(17)	2,236	-
Investing	33	21	-
Financing	-	(3,369)	-
Net increase/(decrease) in cash and cash equivalents	**16**	**(1,112)**	**-**

Note 40: Interest in Joint Venture

The group has 50% interest in CEAT Kelani Holding (Pvt) Limited, a joint venture incorporated in Sri Lanka. The joint venture entity has wholly owned subsidiaries who are involved in the manufacture of tyres. The Group's interest in CEAT Kelani Holdings (Pvt) Limited is accounted for using the equity method in the consolidated financial statements. Summarized financial information of the joint venture based on its financial statements and reconciliation with the carrying amount of the investment in consolidated financial statements are set out below.

i) Details of interest held by Company

Name	Principal activities	Country of incorporation	% of equity interest	
			March 31, 2026	March 31, 2025
CEAT Kelani Holding (Pvt) Limited	Manufacturing of tyres	Sri Lanka	50%	50%

ii) Summarized balance sheet

(₹ in lakhs)

Particulars	As at March 31, 2026	As at March 31, 2025
Non-Current Assets	25,568	24,470
Current Assets*	25,573	26,861
Non-Current Liabilities	(6,695)	(5,120)
Current Liabilities	(10,499)	(12,981)
Foreign currency translation differences	4,053	4,686
Net Assets (A)	**38,000**	**37,916**
Percentage of the Group's ownership (B)	50%	50%
Group's share in Net worth [A x B]	**19,000**	**18,958**
Goodwill	1,516	1,452
Revaluation reserve	(3,220)	(3,081)
Carrying amount of investments	**17,296**	**17,329**

** Current assets of CEAT Kelani Holding (Pvt) Limited includes Cash & Cash equivalent of ₹ 10,223 lakhs (As at March 31, 2025: ₹ 7,516 lakhs)*

Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

Note 40: Interest in Joint Venture (Contd..)

iii) Summarized statement of profit and loss

(₹ in lakhs)

Particulars	2025-26	2024-25
Revenue	52,685	54,120
Finance Costs	(345)	(468)
Depreciation and amortization	(2,370)	(2,163)
Profit before tax	**5,296**	**7,117**
Income tax expenses	(2,136)	(2,773)
Profit after tax (A)	**3,160**	**4,344**
Other comprehensive income	-	-
Total comprehensive income	**3,160**	**4,344**
Percentage of the Group's ownership (B)	50%	50%
Profit considered for consolidation [A x B]	**1,580**	**2,172**

The Group has no contingent liabilities or capital commitments relating to its interest in CEAT Kelani Holding (Pvt) Limited as at March 31, 2026 and March 31, 2025. The joint venture has no contingent liabilities or capital commitments as at March 31, 2026 and March 31, 2025.

Note 41: Post-retirement benefit plan

Refer note 2.16 for accounting policy on employee benefits

a) Defined contribution plan

Refer note 32 for Group's contribution to the defined contribution plans with respect to provident fund and other funds.

b) Defined benefit plan – Gratuity

Description of plan

The Group has a defined benefit gratuity plan which is funded with an Insurance Company in the form of a qualifying Insurance policy. The Group's defined benefit gratuity plan is a salary plan for employees which requires contributions to be made to a separate administrative fund. The gratuity plan is governed by the Payment of Gratuity Act, 1972. Under the act, every employee who has completed five years of service gets a gratuity on separation at 15 days of last drawn salary for each completed year of service.

Governance

The fund has the form of a trust, and it is governed by the Board of Trustees, which consists of employer and employee representatives. The Board of Trustees is responsible for the administration of the plan assets and for the definition of the investment strategy. Each year, the Board of Trustees reviews the level of funding.

Investment Strategy

The Board of trustees have appointed LIC of India, Birla Sun Life Insurance, India First Life Insurance, Kotak Mahindra Life Insurance & HDFC Life Insurance to manage its funds. The Board of Trustees aim to keep annual contributions relatively stable at a level such that no plan deficits (based on valuation performed) will arise. Every year, the insurance Company carries out a funding valuation based on the latest employee data provided by the Group. Any deficit in the assets arising as a result of such valuation is funded by the Group. In case of death, while in service, the gratuity is payable irrespective of vesting.

Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

Note 41: Post-retirement benefit plan (Contd..)

The following set out the amounts recognized in the Group's financial statements as at March 31, 2026 and March 31, 2025.

Consolidated balance sheet

i) Net Assets/(Liability) as at year end

(₹ in lakhs)

Sr. No.	Particulars	As at March 31, 2026	As at March 31, 2025
1	Closing Present value of the defined benefit obligation	22,122	16,699
2	Closing fair value of plan assets	16,776	15,320
	Net Assets/(Liability) recognized in the Balance Sheet	**(5,346)**	**(1,379)**

ii) Change in present value of the defined benefit obligation

(₹ in lakhs)

Sr. No.	Particulars	As at March 31, 2026	As at March 31, 2025
1	**Opening present value of defined benefit obligation**	**16,699**	**14,444**
2	Increase on account of acquisition of Subsidiary*	-	-
3	Current Service Cost	2,353	1,566
4	Interest Cost	1,432	1,042
5	Benefits paid	(1,622)	(1,066)
6	Acquisition adjustment (Transfer out)	-	(31)
7	Remeasurement (Gain)/Loss in other comprehensive income		
	- Change in demographic assumptions	(3,673)	-
	- Actuarial changes arising from changes in financial assumption	(245)	713
	- Experience adjustments	(1,011)	31
8	Past service cost	5,194	-
9	Acquisition of business (refer note 52)	2,995	-
	Closing present value of defined benefit obligation	**22,122**	**16,699**

iii) Changes in fair value of plan assets

(₹ in lakhs)

Sr. No.	Particulars	As at March 31, 2026	As at March 31, 2025
1	**Opening fair value of plan assets**	**15,320**	**14,230**
2	Expected return on plan assets	1,063	1,024
3	Contributions made	-	-
4	Benefits paid	(1)	-
5	Return on plan assets, excluding amount recognised in net interest expense	394	66
	Closing fair value of plan assets	**16,776**	**15,320**

The Group's gratuity funds are invested through insurers